

THE SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

PRESENT:
JUSTICE SHAHID BILAL HASSAN
JUSTICE SHAKEEL AHMAD

C.P.L.A. No. 4361/2024

[Against order dated 21.05.2024 passed in C.R.No.31158 of 2024 by Lahore High Court, Lahore]

Ghulam Ali

...Petitioner(s)

Versus

Ali Sher & others

...Respondent(s)

For the Petitioner(s) : Mr. Mushtaq Ahmad Mohal, ASC
(via video link Lahore)

For the Respondent(s) No.1 : Mr. Asif Shahzad, ASC
to 6 (via video link Lahore)

Date of Hearing : 18.02.2026

JUDGEMENT

SHAHID BILAL HASSAN, J- Brief facts germane to the filing of the instant petition are as such that the respondents/plaintiffs instituted a suit for specific performance on the basis of an alleged oral agreement dated 28-05-1992, asserting that after a criminal case relating to the murder of their father ended in acquittal of the defendant, a reconciliation committee decided that the defendant would transfer his landed property measuring 32-K, situated at Chak 40/4-L, Tehsil and District Okara, to them. It was further alleged that possession was delivered and that upon the defendant securing ownership rights through Mutation No. 1314 dated 14-10-2016, he was obliged to formally transfer the property but refused, necessitating the suit.

The learned trial Court initially dismissed the suit vide judgment and decree dated 06-12-2021. In appeal, the learned District Judge, Okara remanded the matter for decision afresh after framing an additional issue, whereupon the trial Court, vide judgment and decree dated 29-06-2022, decreed the suit for specific performance of the alleged oral agreement.

The petitioner/defendant's appeal against the decree was dismissed by the learned Additional District Judge, Okara on 28-03-2024. A revision petition before the Lahore High Court was also dismissed vide order dated 21-05-2024. Aggrieved, Ghulam Ali (petitioner) has filed the present Civil Petition for Leave to Appeal challenging the concurrent findings of the Courts below.

2. We have heard learned counsel for the parties and examined the record with their able assistance.

3. The entire edifice of the respondents' claim rests upon an alleged oral agreement of sale, said to have been concluded in the year 1992. The law relating to enforcement of oral agreements for sale of immovable property is now well settled and has repeatedly been reiterated by this Court in authoritative pronouncements. In Hafiz Qari Abdul Fateh through L.Rs. v. Ms. Urooj Fatima and others (2024 SCMR 1709), this Court held:

"8. It is a settled principle of law that a contract is an agreement having a lawful object, entered into voluntarily by two or more parties each of whom intends to create one or more legal obligations between them. The basic requirements of a valid and enforceable contract are offer, acceptance, exchange of consideration and mutuality of obligations. Further, a fundamentally important ingredient of a valid contract is that it should be between the parties who are competent to contract. An oral agreement by which the parties intended to be bound is valid and enforceable; however, it requires to be proved through clearest and most satisfactory evidence.

4. It is a well-established legal principle that when a party seeks a decree of specific performance for the sale of immovable property based solely on an oral agreement, the onus is on that party to demonstrate that there was a mutual agreement and consensus between both parties regarding the terms of the oral contract. Reference may be made to the case reported as Maqbool Ahmad v. Suleman Ali (PLD 2003 SC 31), wherein it was ruled that a person entering into an oral agreement has to prove the oral agreement according to the definition of agreement in Section 2(h) of the Contract Act, 1872.

5. A party claiming the existence of an oral agreement must clearly specify the date, time, place, and names of witnesses in their pleadings, such as the plaint or written statement. These requirements are *sine qua non* to prove an oral agreement to sell which have been settled by this Court in various decisions. Reference may be made to the case of

Muhammad Riaz and others v. Mst. Badshah Begum and others (2021 SCMR 605). This is because suits involving sales based on oral agreements are more prone to dishonest improvements made by parties in the evidence and pleadings in order to succeed. This has been so held in the case of Moiz Abbas v. Mrs. Latifa and others (2019 SCMR 74) as reproduced below:-

"8. We find that no date, time, place or names of witnesses of the alleged oral agreement have been mentioned in the reply to the legal notice, the written statement, or the suit filed by the respondent. The learned counsel attempted to argue that the said gaps had been filled by the witnesses of the Respondents in their affidavits in evidence. We are not impressed by this argument. These improvements are clearly beyond the pleadings and constitute an attempt to improve the case of the Respondents as an afterthought. Such course of action is not permitted by law. These requirements are sine qua non to prove an oral agreement to sell which have been settled by this Court in numerous judgments time and again. These are clearly missing in this case. Suits involving sales based on oral agreements are more susceptible to improvements made by parties in the evidence and pleadings in order to succeed. It is imperative that all of these requirements spelt out by Courts with a view that only bona fide oral agreements lead to grant of decrees, need to be strictly enforced and Courts must insist that these be fulfilled at the earliest so as to ensure that an oral agreement is fully proved and the device of oral agreement is not abused by unscrupulous and devious litigants to get decrees by fraud, deceit, skillfully made improvements at different stages the trial."

Similarly, in Saddaruddin (since deceased) through LRs. v. Sultan Khan (since deceased) through LRs and others (2021 SCMR 642), it was observed:

"Para 4. ... Beside, we have noticed that the claim of the appellant suffers from major legal flaws; firstly, that the appellant tried to establish the oral sale agreement through his evidence by asserting two witnesses of sale and further that on refusal to execute sale deed a Jirga took place and a witness to affirm the Jirga was produced. However, we do not find any of such pleas in the plaint and consequently the evidence though neither here nor there but still cannot be considered on the basis of principle laid down by this Court that the parties are required to lead evidence in consonance with their pleadings and that no evidence can be laid or looked into in support of a plea which has not been taken in the pleadings. A party, therefore, is required to plead facts necessary to seek relief claimed and to prove it through evidence of an unimpeachable character. Reference can readily be made to the case of Sardar Muhammad Naseem Khan v. Returning Officer, PP-12 and others (2015 SCMR 1698) and Binyameen and others v. Chaudhry Hakim and another (1996 SCMR 336). The second legal flaw is that in cases where the sale is pleaded through oral agreement then the terms and conditions which were orally agreed are to be stated in detail in the pleadings and are to be established through evidence."

In such like cases, the plaintiff beside detailing subject matter of the sale, the consideration, detail of striking of the bargain, name of the witnesses in whose presence the said oral agreement to sale was arrived at between the parties and other necessary detail for proving the sale agreement as if it would have been executed in writing. Reference can readily be made to the case of Sheikh Akhtar Aziz v. Mst. Shabnam Begum and others (2019 SCMR 524) and Muhammad Nawaz through LRs v. Haji Muhammad Baran Khan through LRs (2013 SCMR 1300). Lastly as to the claim of the appellant regarding his prolonged possession coupled with title documents, suffice it to observe that mere prolonged possession even coupled with title document by itself does not establish the claim of ownership unless the sale is established...”

Furthermore, in Muhammad Yaqoob v. Mst. Sardaran Bibi and others (PLD 2020 SC 338), it was held:

“13. In order to enforce a sale of immovable property, it is imperative for the vendee to establish that the transaction was undertaken with a title holder, there was an offer made which was accepted, the parties had no incapability, there was consensus ad idem and that it was settled against valid consideration and that it was accompanied by delivery of possession.”

6. Tested on the touchstone of the above settled principles, the respondents' case is found wanting. The plaint does not disclose with precision the date, time and place of the alleged oral agreement, nor does it spell out the exact terms and conditions, the settled consideration, or the names of witnesses in whose presence the bargain was struck. The plea of reconciliation committee/Jirga is also not supported by pleadings of the requisite detail. Any attempt to supplement these foundational deficiencies through oral testimony amounts to an impermissible improvement beyond the pleadings, which cannot be looked into.

7. The Courts below, while decreeing the suit, failed to apply the strict standard of proof consistently mandated by this Court in cases resting upon oral agreements for sale of immovable property. The requirement of proving offer, acceptance, consensus *ad idem*, lawful consideration, competency of parties and settled terms through unimpeachable and independent evidence was neither satisfied nor judicially scrutinized in accordance with the binding precedents.

8. The findings recorded by the Courts below thus suffer from misapplication of settled law and non-reading of material deficiencies in the pleadings and proof. Such findings, though concurrent, cannot be

allowed to stand where they are demonstrably contrary to the principles repeatedly laid down by this Court¹.

9. For the foregoing reasons, the petition is converted into appeal and allowed. The judgments and decrees passed by the Courts below are set aside and the suit filed by the respondents for specific performance of the alleged oral agreement stands dismissed. No order as to costs.

JUDGE

JUDGE

Islamabad
18th February, 2026
'APPROVED FOR REPORTING'
M.A. Hassan

¹ Habib Ur Rehman and others v. Abdul Karim (deceased) through L.Rs. and others (2025 SCMR 1262), United Bank Limited (UBL) through its President and others v. Jamil Ahmed and others (2024 SCMR 164)/2024 PLC 50-Supreme Court, Muhammad Nawaz alias Nawaza and others v. Member Judicial Board of Revenue and others (2014 SCMR 914), Abdul Hameed and others v. Khalid and others (2007 SCMR 938), Mst. Saadat Sultan and others v. Muhammad Zahur Khan and others (2006 SCMR 193), Muhammad Aslam v. Mst. Ferozi and others (PLD 2001 Supreme Court 213) and Muhammad Akhtar v. Mst. Manna and 3 others (2001 SCMR 1700).